

State ownership and nationalization

One of the defining features of the socialist socio-economic model is that the means of production and distribution are owned and controlled by the people rather than privately. This can be done by cooperatives at a community level, where all members have a stake in the business, and goods and services are produced for their benefit rather than profit. Many socialists also advocate state ownership of industries, so that they belong to the people of a nation as a whole, with authoritarian communist states taking all businesses into state ownership, effectively running state monopolies in every industry. Other countries have adopted the idea of the state-owned enterprise (SOE) to a greater or lesser extent, having a mix of private and nationalized companies, which may or may not be in competition. SOEs formed a significant proportion of many countries' economies during the 20th century, particularly those under social-democratic governments, but as laissez-faire free-market policies became more widespread from the 1980s, many were taken back into private ownership.

